THE UNITED REPUBLIC OF TANZANIA
PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
MPWAPWA DISTRICT COUNCIL

FORM TWO PRE MOCK IIVEXAMINATION
062 – BOOK KEEPING

TIME: 2:00 HRS **MARCH 2026**

Instructions

- This paper consists of three sections A, B and C with a total of nine (9) questions.
- Answer all questions in all Sections
- Show clearly all necessary workings.
- Calculators may be used where necessary.

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SECTION A (15 MARKS)

1. For each of the following items write the letter of the correct answer in the answer booklet provided.

i. Which of the following is a real account?
A. Wages B. Cash C. Sales D. Capital

ii. The accounting equation states that:
A. Assets = Capital – Liabilities B. Assets = Capital + Liabilities C. Assets = Liabilities – Capital D. Capital = Liabilities – Assets

iii. Which book records small day-to-day expenses?
A. Ledger B. Journal C. Petty cash book D. Sales book

iv. Which of the following is a current asset?
A. Furniture B. Stock C. Loan D. Capital

v. The main purpose of an income statement is to determine:
A. Capital B. Profit or loss C. Assets D. Liabilities

vi. A cheque issued but not yet presented will:
A. Increase bank balance B. Be added in bank reconciliation C. Be deducted from bank balance D. Be ignored

vii. Which column is found in a two-column cash book?
A. Cash and Discount B. Cash and Bank
C. Bank and Purchases D. Sales and Cash

viii. Debtors are classified as:
A. Personal account B. Real account
C. Nominal account D. Capital account

ix. Which of the following is a liability?
A. Debtors B. Cash C. Creditors D. Stock

x. Drawings reduce:
A. Assets B. Liabilities C. Capital D. Expenses

2. Match items in Column A with the correct answer in Column B.

Column A	Column B
i. Accounting equation	A. Record of small payments
ii. Petty cash book	B. Assets = Capital + Liabilities
iii. Income statement	C. Financial position of business
iv. Statement of financial position	D. Determines profit or loss
v. Bank reconciliation	E. Explains difference between bank statement and cash book

SECTION B (40 MARKS)

3. Classify the following as Personal, Real or Nominal accounts:

S/N	NAME OF ACCOUNT	CLASSIFICATION
i.	Cash	
ii.	Furniture,	
iii.	Rent	
iv.	Debtors	
v.	Purchases	
vi.	Creditors	
vii.	Wages	
viii.	Capital	
ix.	Sales	
x.	Building	

4. Complete the gaps in the following table:

No.	Assets (TZS)	Liabilities (TZS)	Capital (TZS)
a.	55,000	16,900	?
b.	?	17,200	34,400
c.	36,100	?	28,500
d.	119,500	15,400	?
e.	88,000	?	62,000

5. Enter the following transaction in the petty cash book of F. Funds with column for; postage and telegram, stationery, traveling, office expenses in the year 2010. Balance of the account as at 1st Feb 2010. 1st Jan 2010 received Imprest cash Tshs 100,000 from the main cashier. Payments:

1st Jan 2010 paid Stationery Tshs 15,000;
3rd Jan 2010 paid Postage Tshs 10,000;
4th Jan paid Bus fare Tshs 12,000;
10th Jan paid for office Cleaning Tshs 8,000; 28th

Jan paid Tea Tshs 5,000.

6. Write up the two-column cash book for the following details and balance it off at the end of the month. 2003

May 1	Balances brought forward from April: Cash TZS 54,000, Bank TZS 140,000
May 4	Paid advertising costs by cheque, TZS 32,000
May 6	Cash purchases TZS 25,000
May 11	Received cheque from Swaumu, TZS 90,000
May 14	Took TZS 45,000 cash out of bank account
May 17	Paid sundry expenses TZS 34,000 cash
May 20	Paid cheque to Lulu TZS 72,000
May 22	Cash sales TZS 95,000
May 24	Paid TZS 55,000 cash into bank
May 28	Borrowed TZS 205,000 from Jackson – received money by cheque

SECTION C (45 MARKS)

7. The manager of kitambi store has extracted the following details from the comparison of the cash book and bank statement for the month of December 2021.

A. The cash book showed a debit balance of tshs 9,360,000 at the bank, and bank statement showed a credit balance of tshs 5,961,000.

B. Cheques drawn but not yet presented to the bank: Sarinjo tshs 171,000; Hafsa tshs 294,000.

C. Cheque paid to the bank but yet credited to the bank but not yet credited to the bank: Marwa tshs 600,000; Misuka tshs 165,000.

D. Items shown in the bank statement but not yet entered in the cash book: stand order for insurance premium tshs 2,520,000; bank charges tshs 57,000; cheque received from Songa and dishonored by the bank tshs 468,000.

E. Cheque payment of tshs 324,000 had been entered in the cash book (bank column) as tshs 270,000.

Required: Assist the manager to prepare a bank reconciliation statement without adjusting the cashbook starting with balance as per cash book.

8. The following balances were extracted from the books of Shirima for the year ending 31 December 2020. Use the information provided to prepare her statement of financial position.

Details	TZS
Capital at 1 January 2020	76,525,000
3-year loan from NBC bank	50,500,000
Furniture	9,500,000
Building	38,650,000
Profit for the year	11,067,500
Land	15,625,000
Drawings	6,600,000
Bank overdraft	10,095,000
Accounts payable	22,800,000
Motor vehicle	15,750,000
Fixtures and fittings	55,250,000
Inventory on 31 December 2020	6,125,000
Accounts receivable	23,487,500

9. The following information are available in the books of Lilian Moore as at 1st January 2014. Draft only an income statement as at that date.

	TZS
Opening Inventory ……	70,000
Purchases amounted to ……	350,000
Sales …….	620,000
Return inwards……	12,000
Carriage outward …….	8,000
Carriage inwards ……..……	3,500
Wages ……	8,000
Salaries …… ……	11,000
Electricity ……	7,000
Commission received ……...	10,000
Discount allowed …….	4,000
Discount received …….	8,500
General expenses …….	6,000
Closing inventory…….	20,000

Required:

Prepare the income statement for the year ended 31st December 2014.